



Course report 2022

Subject	Business Management
Level	Higher

This report provides information on candidates' performance. Teachers, lecturers and assessors may find it useful when preparing candidates for future assessment. The report is intended to be constructive and informative and to promote better understanding. It would be helpful to read this report in conjunction with the published assessment documents and marking instructions.

The statistics used in this report have been compiled before the completion of any appeals.

Grade boundary and statistical information

Statistical information: update on courses

Number of resulted entries in 2022	8960
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Statistical information: performance of candidates

Distribution of course awards including grade boundaries

A	Percentage	43.5	Cumulative percentage	43.5	Number of candidates	3900	Minimum mark required	88
B	Percentage	22.2	Cumulative percentage	65.7	Number of candidates	1990	Minimum mark required	74
C	Percentage	15.9	Cumulative percentage	81.6	Number of candidates	1420	Minimum mark required	60
D	Percentage	9.4	Cumulative percentage	91.0	Number of candidates	845	Minimum mark required	46
No award	Percentage	9.0	Cumulative percentage	N/A	Number of candidates	810	Minimum mark required	N/A

You can read the general commentary on grade boundaries in appendix 1 of this report.

In this report:

- ◆ 'most' means greater than 70%
- ◆ 'many' means 50% to 69%
- ◆ 'some' means 25% to 49%
- ◆ 'a few' means less than 25%

You can find more statistical reports on the statistics page of [SQA's website](https://sqa.my/).

Section 1: comments on the assessment

Question paper

The question paper performed as expected and proved to be accessible to most candidates. The published candidate guidance enabled candidates to prepare for the examination. Where this was used effectively, it improved the performance of the candidates, particularly those gaining A grades. This was considered when setting the grade boundary.

Assignment

The assignment performed as expected.

Section 2: comments on candidate performance

Question paper

Question 1(a)(i)	Most candidates were able to compare ownership and control of Police Scotland. A few candidates chose to compare finance unnecessarily.
Question 1(a)(ii)	Most candidates were able to describe objectives. Some candidates described a task as opposed to an objective.
Question 1(b)(i)	Candidates who labelled the Fayol roles and applied them to the function of the Chief Constable performed well. A few candidates wrote about general management tasks and as a result were unable to gain the marks allocated.
Question 1(b)(ii)	Most candidates were able to explain a cost and benefit of a tall organisational structure. A few candidates did not address the command word 'explain'.
Question 1(c)	Many candidates failed to identify the external factors listed in the case study and gave generic PESTEC responses. Some labelled the factors incorrectly. Those who lifted the external factor directly from the case study without naming it and then explained the impact performed reasonably well.
Question 1(d)(i)	Most candidates were able to discuss the advantages and disadvantages of the selection methods listed in the case study exhibit.
Question 1(d)(ii)	Many candidates were unable to describe how the recruitment and selection process complies with current legislation, for example, the Equalities Act or the Health and Safety at Work Act.
Question 1(e)(i)	Many candidates were able to explain at least one reason for the preparation of budgets.
Question 1(e)(ii)	Most candidates found this question challenging, mainly because the organisation is in the public sector. Many candidates gave responses that would have been correct had they been writing about a private sector organisation, for example, 'obtain a bank loan'.
Question 1(f)	Most candidates were able to discuss the costs and benefits of marketing using social media.
Question 2(a)	Most candidates were able to discuss the use of JIT.
Question 2(b)	Many candidates were able to justify the use of quality control and quality assurance, although a few mixed up the terms. Some repeated

	their justification of both terms. Many candidates described benchmarking as opposed to stating why it would be used.
Question 2(c)	Many candidates were able to describe the factors when deciding on a method of production.
Question 2(d)	Most candidates were able to describe the advantages and disadvantages of CAD.
Question 3(a)	Most candidates were able to compare field and desk research.
Question 3(b)	Most candidates were able to describe the costs and benefits of a product portfolio.
Question 3(c)	Most candidates were able to gain two marks for comparing penetration and skimming pricing. Many were able to gain the third mark. However, a few candidates mixed up the two terms.
Question 3(d)	Many candidates were able to assess the effectiveness of decisions.
Question 4(a)	Most candidates were able to discuss the sources of finance.
Question 4(b)	This question proved challenging. Many candidates showed little knowledge of the contents of an income statement, with a few confusing it with a cash budget or personal payslip.
Question 4(c)	Many candidates showed a knowledge of the effect of outsourcing but were unable to explain the effect, giving only a description.
Question 4(d)	Most candidates were able to discuss the costs and benefits of Fairtrade.
Question 5(a)	Most candidates were able to describe the four sectors of industry.
Question 5(b)	Most candidates were able to discuss the advantages and disadvantages of appraisal.
Question 5(c)	Many candidates failed to explain how the employee participation processes assisted in improving employee relations, giving only a description of the process. Some candidates did give a correct explanation of how employee relations were improved but repeated the explanation for two or three of the processes.
Question 5(d)	Many candidates failed to describe the importance of workforce planning, writing instead about the setting of staff rotas or describing the job analysis stage of the recruitment process.

Assignment

Candidates who used the headings and layout specified in the assessment task document performed well. Those candidates who were able to analyse their findings and make suitable recommendations based on the analysis gained higher marks. Many candidates chose wide and focused topics, for example 'the extended marketing mix of xxx'. This allowed them to research sufficient evidence to analyse and access all the marks available. Some candidates, however, chose topics that did not allow them to access sufficient information to analyse. PESTEC, Ethics and CSR proved to be more challenging topics.

A few candidates chose the business model of an organisation, and this topic proved to be a bit too general, with analytical points not linked closely to the topic. A few candidates chose two organisations to base their report on. This should be avoided, as the course assessment states that it should be one organisation.

Some candidates included an analytical technique such as a SWOT analysis, which is no longer required and, in many cases, brought extra complexity.

Background information was often far too lengthy. A short statement indicating what the business does and a description of the main activities of the business is sufficient.

Most candidates explained their research methods well. The analysis section was handled well by many candidates who made clear analytical points.

Some candidates made points that did not link to the purpose of the assignment. Such analysis gained no marks. Although unintentional, sometimes the phrasing used by candidates turned an analytical point into a recommendation and no mark was awarded. Most candidates offered very few conclusions, and this proved to be one of the most challenging areas. Conclusions should be a summary of what has gone before and not just repeated findings. Candidates gained marks more easily by making recommendations, but these must be justified in the report. Additional marks can be given if a negative point of the recommendation is given as a development. Some candidates made recommendations that were not justified anywhere and appeared as new information. The following is an acceptable example of a conclusion:

'Overall, the extended marketing mix is working well as xxxx are surviving in their market and their customers and sales are always very high.'

Section 3: preparing candidates for future assessment

Question paper

Candidates should read questions carefully, taking into consideration the command words in each section.

Candidates should avoid lifting text directly from the case study to answer a question. They need to develop or explain the information in some way to gain marks.

Candidates should look at the number of marks allocated to each question and write sufficient points to gain the marks. Some write too much and risk not completing the whole paper.

Centres should put further emphasis on the finance topics, particularly the purpose and content of financial statements.

Candidates and centres should practise using case studies, making sure that information in the case study is used, when required, to answer a question.

Assignment

Candidates should adhere to the word count for the assignment, as a penalty is applied if they exceed it by more than 10%.

Topics must be from the Higher course content. Candidates should choose a topic and an organisation that allows them to have sufficient content to analyse. Centres must use the SQA provided template as reports are scanned and marked from image.

Candidates must base their analysis of findings on researched evidence. They should reference each point and consider whether to use footnotes or refer directly to the appendices.

Candidates must not include recommendations in the analysis section and should link conclusions and recommendations clearly to evidence. They should choose only one organisation. There is no need to use an analytical technique.

Teachers and lecturers should be aware that it is permissible to give reasonable assistance to candidates. This includes advice on choosing a topic, sources of information, and the likely availability or accessibility of resources. Advice may be given on the structure of the report. This information is contained in an audio presentation on the [Understanding Standards website](https://sqa.my/).

Appendix 1: general commentary on grade boundaries

SQA's main aim when setting grade boundaries is to be fair to candidates across all subjects and levels and maintain comparable standards across the years, even as arrangements evolve and change.

For most National Courses, SQA aims to set examinations and other external assessments and create marking instructions that allow:

- ◆ a competent candidate to score a minimum of 50% of the available marks (the notional grade C boundary)
- ◆ a well-prepared, very competent candidate to score at least 70% of the available marks (the notional grade A boundary)

It is very challenging to get the standard on target every year, in every subject at every level. Therefore, SQA holds a grade boundary meeting for each course to bring together all the information available (statistical and qualitative) and to make final decisions on grade boundaries based on this information. Members of SQA's Executive Management Team normally chair these meetings.

Principal assessors utilise their subject expertise to evaluate the performance of the assessment and propose suitable grade boundaries based on the full range of evidence. SQA can adjust the grade boundaries as a result of the discussion at these meetings. This allows the pass rate to be unaffected in circumstances where there is evidence that the question paper or other assessment has been more, or less, difficult than usual.

- ◆ The grade boundaries can be adjusted downwards if there is evidence that the question paper or other assessment has been more difficult than usual.
- ◆ The grade boundaries can be adjusted upwards if there is evidence that the question paper or other assessment has been less difficult than usual.
- ◆ Where levels of difficulty are comparable to previous years, similar grade boundaries are maintained.

Grade boundaries from question papers in the same subject at the same level tend to be marginally different year on year. This is because the specific questions, and the mix of questions, are different and this has an impact on candidate performance.

This year, a package of support measures including assessment modifications and revision support, was introduced to support candidates as they returned to formal national exams and other forms of external assessment. This was designed to address the ongoing disruption to learning and teaching that young people have experienced as a result of the COVID-19 pandemic. In addition, SQA adopted a more generous approach to grading for National 5, Higher and Advanced Higher courses than it would do in a normal exam year, to help ensure fairness for candidates while maintaining standards. This is in recognition of the fact that those preparing for and sitting exams have done so in very different circumstances from those who sat exams in 2019.

The key difference this year is that decisions about where the grade boundaries have been set have also been influenced, where necessary and where appropriate, by the unique circumstances in 2022. On a course-by-course basis, SQA has determined grade boundaries in a way that is fair to candidates, taking into account how the assessment (exams and coursework) has functioned and the impact of assessment modifications and revision support.

The grade boundaries used in 2022 relate to the specific experience of this year's cohort and should not be used by centres if these assessments are used in the future for exam preparation.

For full details of the approach please refer to the [National Qualifications 2022 Awarding — Methodology Report](#).